

Introduction

Singtel, a leading communications technology group, has a significant presence in Asia and beyond. This report analyses Singtel's approach to Governance, Risk, and Compliance (GRC) based on its 2023 Annual Report and relevant regulations.

Governance

Singtel's governance framework is centred around a Board of Directors consisting of 12 independent non-executive directors (IDs), one non-independent non-executive Chairman, and one executive CEO. The Board is supported by several specialized committees: the Audit Committee (AC), Corporate Governance and Nominations Committee (CGNC), Executive Resource and Compensation Committee (ERCC), Finance and Investment Committee (FIC), Risk Committee (RC), Technology and Resilience Committee (TRC), and Optus Advisory Committee (OAC). These committees enhance oversight and decision-making, aligning with strategic objectives, benefits realization, risk optimization, and resource management.

Key Governance Elements:

- **Board Size, Composition and Independence:** Reviewed by the CGNC, Singtel's maintains an appropriate board size and composition, with a strong presence of independent directors, ensures effective decision-making processes while aligning with the Singapore Code of Corporate Governance (SCCG)'s requirement of at least one-third of the board be independent and more should the Chairman be not independent. IDs provide unbiased perspectives, dares to challenge management's decisions, and safeguard the interests of all stakeholders. This structure supports Singtel's strategic management by ensuring that governance decisions are coherent with the company's long-term goals, such as sustainability goals, driving innovation, and enhancing customer experience.
- **Board Diversity - Increased Inclusivity and Innovation:** Singtel promotes board diversity in gender, geography, expertise, and skills, enhancing risk management and innovation. This inclusivity aligns with SCCG guidelines of encouraging diversity in board appointments and supports benefits realization by considering diverse perspectives. This reflects Singtel's dedication to inclusive and forward-thinking governance.
- **Board Performance & Evaluation - Continuous Improvement and Accountability:** Regular evaluations of the board's performance ensure continuous improvement and accountability. This practice, aligned with SCCG requirements of best practices in corporate governance, helps the board adapt to changing needs and supports strategic management. Continuous

performance monitoring is a key component of Singtel's strategic management, ensuring that the board's actions are aligned with the company's strategic objectives and that they contribute to the realization of long-term benefits.

- **Enhanced Stakeholder Rights & Engagement:** Singtel maintains transparency through SGXNet and its website, keeping shareholders updated on strategic and operational matters. The Annual General Meeting (AGM) reviews company progress, while periodic stakeholder engagement every 3–5 years ensures strategic initiatives deliver tangible benefits. This approach, aligned with SGX Listing Rules and SCCG requirements, fosters shareholder trust and loyalty, bolstering Singtel's reputation and strengthening its shareholder base.
- **Ethical Integrity and Legal Compliance:** Singapore's regulations, including the Companies Act and SGX Listing Rules, require companies to have policies on insider trading, conflicts of interest, and anti-corruption. The SCCG also advocates for a Code of Conduct to guide ethical behavior. Singtel adheres to these standards through its Securities Transactions Policy, Code of Business Conduct and Ethics, Whistleblower Policy, and Anti-Bribery and Corruption Policy. These measures mitigate legal risks, uphold ethical standards, and align governance practices with Singtel's strategic goals.
- **Attracting and Retaining Talent - Remuneration:** Singtel's remuneration policies are fair, competitive, and industry-aligned, linking compensation to performance. This approach helps attract and retain top talent, supporting long-term value creation and complying with SCCG guidelines on transparent pay practices. By securing skilled leaders, Singtel ensures it meets strategic goals and delivers benefits to all stakeholders.
- **Resource Optimization - Efficient Use of Resources:** Singtel's governance framework emphasizes efficient use of resources through strategic allocation, rigorous budgeting, and talent management, while also incorporating sustainability practices to reduce energy consumption and waste.

Impact of Governance: Singtel's robust governance framework contributes to the stability, sustainability, and growth of Singtel by fostering a well-managed, transparent, and ethical corporate environment. To add on, Singtel rank top in 2023's Singapore Governance and Transparency Index (SGTI) is a testament to its exemplary corporate governance practices, driven by a strong adherence to regulatory mandates and a proactive approach to addressing stakeholder needs and therefore a successful massive conglomerate with numerous subsidiaries, well-positioned to achieve its long-term strategic goals and deliver sustained value to all its stakeholders.

Risk Management

Singtel demonstrates a robust and integrated approach to risk management, reflecting its commitment to minimizing uncertainties and maximizing opportunities within its operations. The company's governance structure places ultimate responsibility for risk management with the Board, while the Risk Committee (RC) and Audit Committee (AC) play crucial roles in monitoring the Group's risk profile and internal controls.

Evidence of Risk Management:

A key element of Singtel's risk management approach is the Group Risk Management Framework, which aligns with international standards such as ISO 31000:2018 and the COSO Internal Controls Integrated Framework. This framework defines 16 categories of risks, ranging from environmental to operational, enabling the organization to systematically identify, monitor, manage, and report risks. The RC regularly reviews significant risks and the effectiveness of mitigating measures, ensuring that the Board is well-informed of the company's risk landscape.

Singtel's commitment to continuous improvement in risk management is evident in the regular updates and reviews of the Group Risk Framework. These updates ensure the framework remains relevant and effective, often incorporating benchmarking against global best practices. The Internal Audit (IA) function further strengthens this approach by providing independent assurance to the AC and the Board on the adequacy and effectiveness of the risk management processes, financial reporting, internal controls, and compliance systems.

Active Monitoring of Risks & Mitigations:

- **Operational Risks:**

Singtel closely monitors operational risks, particularly those involving network and system disruptions that could affect service delivery. Following two major incidents in Australia, Singtel prioritized cybersecurity by engaging top experts and enhancing disaster recovery and business continuity plans. This proactive stance underscores their commitment to maintaining service continuity. Significant incidents are escalated through a Board Escalation Process, ensuring effective crisis management and oversight.

- **Regulatory Risks:**

Operating across multiple jurisdictions brings regulatory challenges, and Singtel actively monitors these changes to stay compliant. The Risk Management Committee oversees the effectiveness of compliance programs, ensuring legal requirements are met and reducing the risk of penalties and sanctions.

- **Financial Risks:**

Singtel closely monitors financial risks like market volatility and credit risk. The company uses hedging strategies to minimize the impact of market fluctuations and conducts regular credit assessments to manage risks from customer and

counterparty defaults. A diversified customer base helps reduce dependency on any single entity.

- **Strategic Risks:**

In a competitive telecommunications market, Singtel closely monitors risks from competition and market shifts. The company mitigates these risks through continuous innovation and strategic adaptation to stay aligned with industry trends. Singtel also prioritizes reputation risk by upholding strong corporate governance, ethical practices, and transparency to safeguard its reputation.

- **Risk Optimization:**

Singtel's approach to risk management involves optimizing risk-related resources and costs while leveraging risk insights to drive strategic decisions. The company integrates sustainability into its risk practices, focusing on long-term growth and operational resilience.

Mitigations and Responses:

Singtel's response to these risks is multifaceted, involving a combination of internal controls, strategic planning, and crisis management:

- **Operational Mitigations:**

Singtel's disaster recovery plans and business continuity strategies ensure resilience in the face of disruptions. Cybersecurity defences are continuously upgraded, leveraging advanced technologies to prevent breaches and ensure data security.

- **Regulatory Compliance:**

Compliance programs are regularly reviewed and updated to adapt to changing regulations. The Risk Management Committee ensures that all regulatory requirements are met, minimizing the risk of legal and financial repercussions.

- **Financial Risk Management:**

To stabilize financial performance amidst market volatility, Singtel employs sophisticated hedging strategies. Regular credit assessments are conducted to manage credit risk effectively, with a diversified customer base helping to minimize potential losses.

- **Strategic Adaptations:**

Singtel's ongoing investment in new technologies and service expansion is critical to maintaining its competitive edge. Strong corporate governance and proactive stakeholder engagement are central to managing and mitigating reputation risk.

Assurance and Governance:

Singtel's risk management processes are reinforced by scenario planning, crisis

management, and the establishment of key risk controls, ensuring that risks are managed within acceptable limits. The Risk Management Committee, comprising senior and top management, meets regularly to oversee the implementation of risk policies. Furthermore, the Group CEO and Group CFO provide annual written certifications to the Board, confirming the integrity of financial reporting and the effectiveness of the risk management and compliance systems.

In conclusion, Singtel's proactive approach to risk management, supported by robust internal controls and continuous auditing, contributes significantly to the company's resilience in a dynamic and challenging risk environment.

Compliance

Singtel operates in a highly regulated industry, necessitating strict adherence to compliance requirements.

Compliance Issues:

Singtel operates in a complex regulatory environment due to its presence in multiple countries, each with its own set of legal and regulatory requirements. This creates several compliance challenges, particularly in areas such as data privacy, cybersecurity, telecommunications regulation, anti-corruption, and corporate governance.

One significant compliance issue Singtel faces is adhering to stringent data privacy regulations, especially given the increasing scrutiny around how companies handle personal data. The implementation of data protection laws like the General Data Protection Regulation (GDPR) in Europe and the Personal Data Protection Act (PDPA) in Singapore requires Singtel to ensure that its data handling practices meet strict standards to avoid penalties and maintain customer trust. This is particularly relevant following cybersecurity breaches, such as those that affected Optus and Dialog, which exposed vulnerabilities in data security and highlighted the importance of robust compliance with privacy laws.

Another compliance challenge is the need to navigate the varied telecommunications regulations across different countries. These regulations often pertain to licensing, spectrum usage, and service quality standards, requiring Singtel to adapt its operations to meet local requirements while maintaining consistency across its global operations.

Additionally, Singtel must comply with anti-corruption laws, both in Singapore and abroad. This includes adhering to the Corruption, Drug Trafficking and Other Serious Crimes (Confiscation of Benefits) Act (CDSA) in Singapore, as well as foreign regulations like the U.S. Foreign Corrupt Practices Act (FCPA). Ensuring compliance with these laws involves implementing rigorous internal controls and ethical guidelines to prevent any form of bribery or corruption in its business dealings.

Regulations Required to be Complied With:

Singtel is required to comply with a broad range of regulations across its various markets. Key regulations include:

- **Data Protection Laws:**
 - **General Data Protection Regulation (GDPR):** This European regulation imposes strict guidelines on how companies collect, store, and use personal data. Singtel must ensure that its data handling practices meet these requirements to operate within the European market.
 - **Personal Data Protection Act (PDPA) in Singapore:** This law governs the collection, use, and disclosure of personal data in Singapore. Singtel must comply with PDPA requirements to protect customer information and avoid breaches of privacy.
- **Telecommunications Regulations:**
 - Singtel must comply with various national telecommunications laws, which often include obtaining and maintaining licenses, adhering to spectrum allocation requirements, and ensuring that services meet specified quality standards. In Singapore,, Singtel must adhere to the regulations set forth by the Infocomm Media Development Authority (IMDA), which governs the telecommunications industry.
- **Anti-Corruption Laws:**
 - **Corruption, Drug Trafficking and Other Serious Crimes (Confiscation of Benefits) Act (CDSA) in Singapore:** Prevention of money laundering and corruption within Singtel's operations.
 - **Foreign Corrupt Practices Act (FCPA) in the United States:** As Singtel operates in markets that fall under U.S. jurisdiction, it must ensure compliance with the FCPA, which prohibits bribery of foreign officials and mandates accurate record-keeping.
- **Corporate Governance Standards:**
 - Singtel adheres to the Singapore Code of Corporate Governance, which sets out principles and guidelines for maintaining high standards of corporate governance. Compliance ensures that Singtel upholds transparency, accountability, and ethical business practices.

Conclusion:

Singtel's ability to navigate and comply with a wide range of regulations is critical to its success in maintaining operations across diverse markets. The company's focus on stringent data protection, adherence to local telecommunications regulations, and

commitment to ethical practices in line with anti-corruption laws highlights its proactive approach to managing compliance risks. Ensuring ongoing compliance with these regulations not only safeguards Singtel's reputation but also supports its long-term sustainability in a highly regulated industry.

In all, Singtel's governance ensures sustainable, compliant, long-term success.

Appendix:

[CG Report 2023.pdf \(singtel.com\)](#)

<https://www.businesstimes.com.sg/esg/singapore-companies-scoring-higher-corporate-governance-singtel-reclaims-top-spot>

<https://www.mas.gov.sg/-/media/mas/regulations-and-financial-stability/regulations-guidance-and-licensing/infographiccorporategovernancecouncilsrecommendationstoenhancecorporategovernanceinsingapore.pdf>

<https://rulebook.sgx.com/rulebook/practice-guidance-12-engagement-shareholders>

<https://www.singtel.com/content/dam/singtel/about-us-singtel/company/governance/risk-management-policy.pdf>

<https://sso.agc.gov.sg/Act/CDTOSCCBA1992?ProvIds=P17-#pr74->

<https://www.justice.gov/opa/speech/assistant-attorney-general-kenneth-polite-jr-delivers-remarks-georgetown-university-law>

<https://www.pdpc.gov.sg/overview-of-pdpa/the-legislation/personal-data-protection-act>

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